



United States
Attorney's Office
Southern District of California



Former Government Employee and Wife Plead Guilty to Defrauding the Department of Veterans Affairs

Thursday, February 6, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of California

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SAN DIEGO – Rafael Castro, a veteran of the U.S. Navy and a former employee of the Veterans Health Administration and the Internal Revenue Service, and his wife, Miriam Castro, pleaded guilty in federal court today to defrauding the Department of Veterans Affairs (VA) out of more than \$130,000.

According to their plea agreements, between September 2018 and April 2024, the Castros lied to obtain caregiver benefits from the Caregiver Support Program, a VA program that provides caregiver support for injured veterans. Rafael Castro admitted that he lied about needing high-level assistance for daily activities, including dressing and undressing himself, personal hygiene, and grooming.

According to plea documents, Rafael Castro defrauded the VA into awarding him assistance that paid the primary caregiver—his wife—an amount equivalent to a full-time home health aide's 40-hour per-week payment.

According to plea documents, for years, Miriam Castro received monthly payments to be a full-time caregiver for Rafael Castro while her husband worked as a full-time federal employee. From July 2015 to June 2023, Rafael Castro worked for the Veterans Health Administration, and from June 2023 to April 2024, he worked for the Internal Revenue Service. Even though he was employed by the federal government, Rafael Castro falsely told VA representatives at least six times that he was unemployed.

For example, during a 2023 interview, Rafael Castro falsely claimed that he had last worked in 2018 and that his wife was his full-time caregiver. According to their plea agreements, while Rafael Castro was engaged in the fraud scheme, he received several promotions, all while he continued to claim he was unemployed. In their respective plea agreements, Rafael Castro and Miriam Castro admitted that they participated in the multi-year scheme to defraud the VA.

“This case is an excellent example of the importance of internal inspections within government programs,” said U.S. Attorney Tara McGrath. “Without the intervention from the Inspector General’s Office, this fraud might have continued indefinitely.”

“These guilty pleas demonstrate that those involved in defrauding VA, including government employees, will be held accountable,” said Special Agent in Charge Anthony Heddell with the Department of Veterans Affairs Office of Inspector General’s Western Field Office. “The VA OIG will continue to work with our law enforcement partners to ensure the integrity of VA’s benefits programs and services.”

“Violations of federal law, particularly those committed by IRS employees will not be tolerated and will be prosecuted to the fullest extent of the law,” Acting Special Agent in Charge Brandon Knarr stated. “TIGTA will continue to work closely with the United States Attorney’s Office and our law enforcement partners to identify, investigate and hold those individuals responsible for their illegal activities.”

Sentencing is scheduled for April 25, 2025, at 9 a.m. before U.S. District Judge James E. Simmons, Jr.

This case is being prosecuted by Assistant U.S. Attorney Edward Chang.

To report fraud in a VA program, call the VA-OIG hotline at 1-800-488-8244 or visit <https://www.va.gov/oig/hotline/>.

DEFENDANTS

Case Number 25CR0310-JES

Rafael Castro	Age: 50	Oceanside, CA
Miriam Castro	Age: 48	Oceanside, CA

SUMMARY OF CHARGES

Wire Fraud – Title 18, U.S.C., Section 1343

Maximum penalty: Twenty years in prison and \$250,000 fine

INVESTIGATING AGENCIES

Department of Veterans Affairs, Office of Inspector General

Treasury Inspector General for Tax Administration

Contact

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Topic

HEALTHCARE FRAUD

Component

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